EARNINGS PREVIEW · BERKSHIRE HATHAWAY

The Fortress in a Falling Market: Berkshire Reports With $365 Billion and a Record Stock

Berkshire Hathaway publishes its third-quarter results on Saturday 7 November, two days after the worst day for US stocks since April 2025. Its shares hit a record on Wednesday and fell only 1.2% on Thursday while the Nasdaq lost 5.5%. Under Greg Abel, its first non-Buffett chief executive, Berkshire has started spending its cash: buybacks, a $10 billion stake in Alphabet and a $6.8 billion homebuilder. This preview explains what to watch, why the stock is acting as a haven and what history says about Berkshire in bad markets.

Global Markets Research · Equity Strategy Desk Prepared by ANDRA MARKETS

~$579

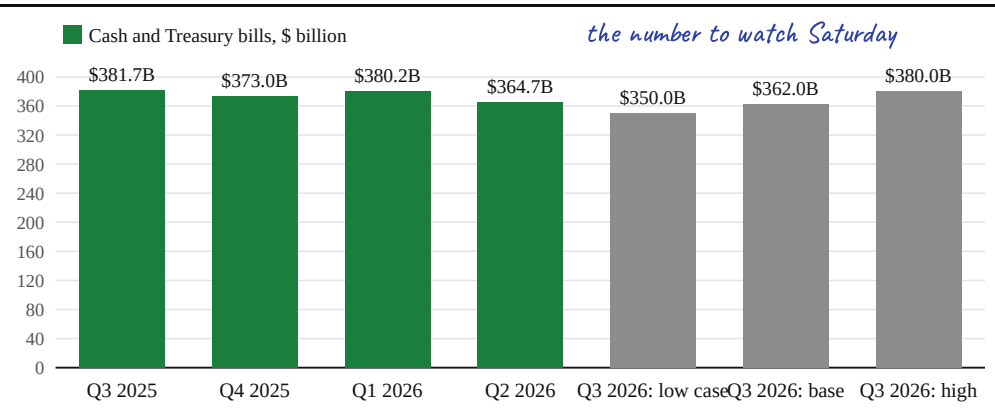
the anti-AI trade

Coverage summary. Berkshire's Class B shares closed at a record $579.09 on 4 November after rising about 4% that day, their biggest one-day gain in 18 months, and are up about 15% this year and 16% in five weeks. On Thursday, when the S&P 500 fell 4.36% and the Nasdaq 5.52%, they slipped just 1.17% to $572.33. The company reports on Saturday at about 7:00 a.m. Central time, with no conference call and no immediate market reaction. Analysts compiled by Zacks expect revenue of about $97.3 billion, up 2.5%, and per-share earnings about 5.6% lower than a year ago; Morningstar expects operating earnings up by a mid-to-high single digit despite weaker insurance underwriting. The number most investors will check first is the cash pile: $364.7B at the end of June, down from $380.2 billion in March after Berkshire bought almost $20 billion more stock than it sold. A further fall would show Abel still finds things worth buying at today's prices.

a $1.2T safe haven

CASH & T-BILLS, JUNE	BRK.B, 5 NOV	Q3 REVENUE (ZACKS)	REPORT
$364.7B	**$572.33**	**~$97.3B**	**Sat 7 Nov**
~29% of market value	*record $579.09 on 4 Nov*	*+2.5% y/y*	*~7:00 a.m. CT*

EXHIBIT 1. BERKSHIRE'S CASH AND TREASURY BILLS, WITH ILLUSTRATIVE Q3 CASES ($ BILLION)



down $15B in Q2

Sources: Motley Fool (Q3 2025 $381.7B; end-2025 ~$373B; Q1 2026 $380.2B; Q2 2026 $364.7B). Q3 2026 bars are Andra Markets illustrations of the scenarios described by analysts, not forecasts.

1.0 Executive Summary

Eight things to know before Saturday

1. The stock is acting as a haven. Berkshire rose to a record as the AI trade cracked and lost about a quarter as much as the S&P 500 on Thursday. Its businesses, railroads, utilities, insurance and consumer brands, have little exposure to the data-centre and chip themes that drove the sell-off.

2. Cash is the headline number. The pile fell by over $15 billion in the second quarter. Two disclosed third-quarter uses, the $6.8 billion Taylor Morrison purchase and $3.3 billion of July buybacks, already total more than $10 billion, so a figure a little below $365 billion would mostly reflect known deals.

3. Buybacks by month matter most. Abel restarted repurchases in the first quarter after a 21-month freeze, saying the shares traded below intrinsic value. Buying in August and September, as the stock climbed, would signal he still sees value at higher prices.

4. A second quarter of net stock buying would be the real signal. After 14 quarters as a net seller, Berkshire bought about $20 billion more stock than it sold in the second quarter, half of it a $10 billion private placement in Alphabet.

5. Earnings face a tough comparison. Operating earnings were a strong $13.5 billion in the third quarter of 2025, up 34%, on normalised insurance results. Analysts expect insurance underwriting to weaken as pricing softens, with railroad, energy and manufacturing businesses doing the offsetting.

6. History favours Berkshire in bad years. In all six calendar years since 2000 when the S&P 500 fell, including dividends, Berkshire's shares did better, rising in four of them. But in 2008 it still lost 31.8%, and its shares have halved three times since 1965.

7. It is no longer cheap by its own history. At about 1.6 times book value and about 12 times earnings, the shares trade well above the 1.1 times book of March 2000, the starting point for its best run against the market.

8. Our reading. Saturday is less about earnings than about capital allocation under Abel. Continued buying would confirm a more active Berkshire; a rebuilding cash pile would suggest the second quarter was an exception built around the Alphabet deal.

2.0 What Berkshire Reports on Saturday

The release, the 10-Q and the timing

Berkshire is one of the few large companies that reports on a weekend, a habit kept from the Buffett era so that shareholders can read the numbers before markets open. The earnings release and the Form 10-Q will be posted at about 7:00 a.m. Central time on Saturday 7 November. There is no conference call. The release shows operating earnings by segment, investment gains or losses, the cash position and buybacks; the 10-Q adds monthly repurchases and the cash flow statement, including purchases and sales of equities. Berkshire's detailed list of stock holdings comes separately in its 13F filing, due about 45 days after the quarter ends, in mid-November.

Exhibit A. What to look at, in order

Item	Where	Why it matters
Cash and Treasury bills	release / balance sheet	Abel's appetite at record prices
Net purchases or sales of equities	10-Q cash flow statement	a second quarter of net buying?
Buybacks by month	10-Q	August-September buying at higher prices?
Operating earnings by segment	release	insurance vs railroad, energy, manufacturing
Insurance underwriting	release	softening pricing cycle
Investment gains/losses	release	noise from Apple, Alphabet, others
13F holdings	separate filing, mid-November	what was bought and sold

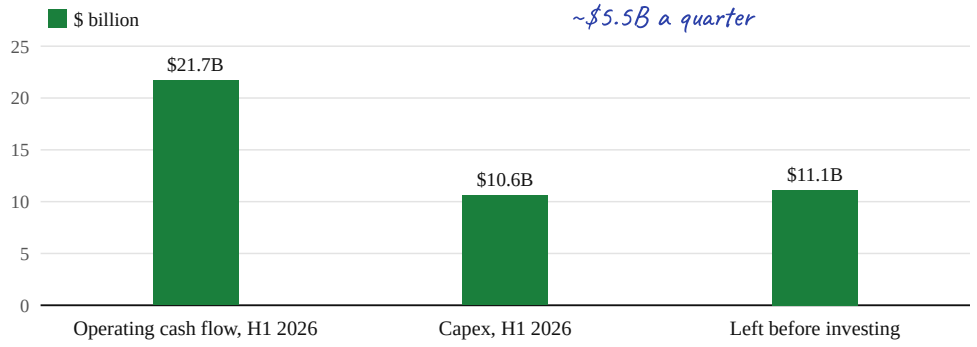
Sources: Berkshire Hathaway reporting practice; Motley Fool; TradingKey.

3.0 The Cash Pile

Why it is the number to watch

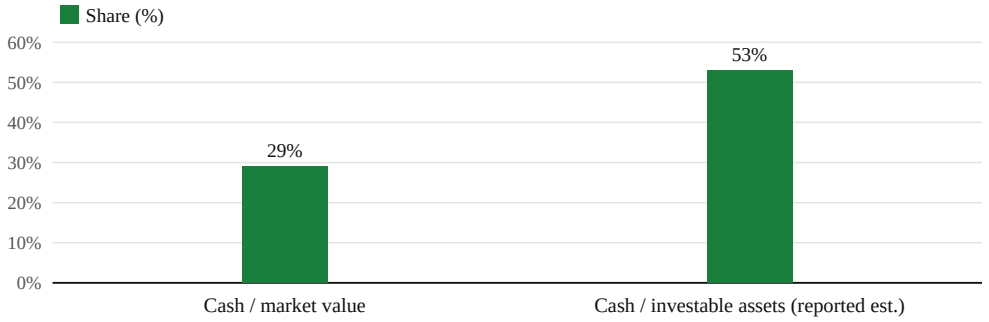
Berkshire's cash and Treasury bills stood at about $381.7 billion at the end of the third quarter of 2025, the last quarter of Warren Buffett's tenure as chief executive, and about $373 billion at the end of 2025. They rose to $380.2 billion in March, when Berkshire sold about $8.1 billion more stock than it bought, then fell to $364.7B in June as it bought almost $20 billion more than it sold. That swing shows how closely the pile tracks stock trading rather than operations. It also builds by itself: Berkshire's businesses generated $21.7 billion of operating cash flow in the first half and spent $10.6 billion on property and equipment, leaving about $11 billion, roughly $5.5 billion a quarter, before any investments. Abel noted in his first annual letter that part of the pile is needed to support the insurance operations. At about 29% of Berkshire's market value, it is still one of the largest cash positions held by any company.

Exhibit 2. Berkshire's operating cash flow and capex, first half of 2026 ($ billion)



Source: Motley Fool, citing Berkshire's 10-Q filings.

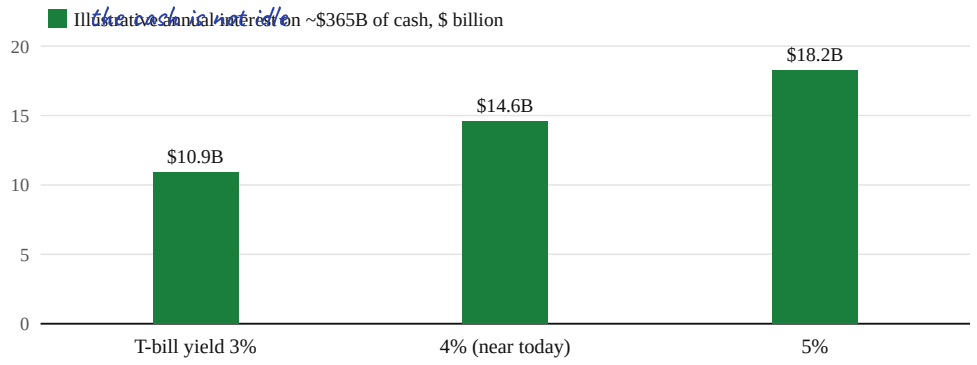
Exhibit 3. Cash relative to market value and investable assets (%)



Sources: Motley Fool (~29% of market value at the 4 November close); 24/7 Wall St. (reported ~53% of investable assets). Approximate.

The cash is not idle. With US Treasury bill yields close to the Fed's 3.75% to 4% policy range, $365 billion of cash and bills earns in the order of $14-15B a year before tax on our illustrative arithmetic, a sizeable contribution compared with quarterly operating earnings of about $13 billion. That income depends on rates: if the Fed resumed cutting, the return on the pile would fall, and Berkshire would have a stronger incentive to deploy it. With the Fed likely to raise rates again in December, the opportunity cost of holding cash has rarely been lower in the Abel era. 24/7 Wall St. notes that the pile would be enough to buy 465 of the companies in the S&P 500 outright.

Exhibit 4. Illustrative annual interest income on Berkshire's cash ($ billion)



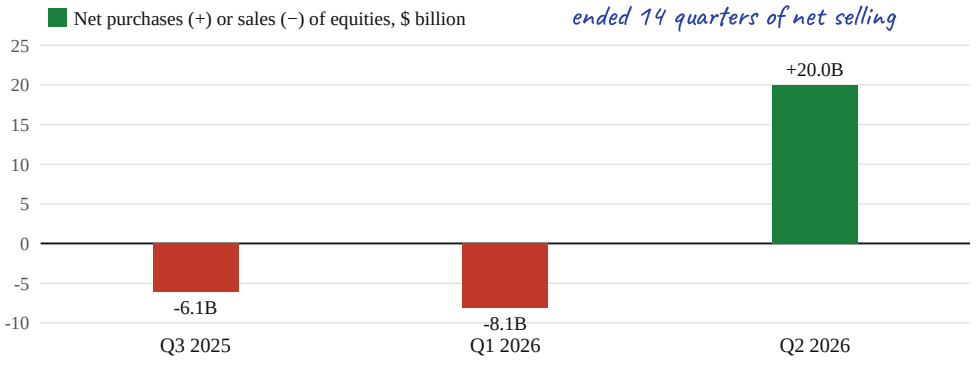
Source: Andra Markets illustration: $365B × yield. Actual income depends on maturities, mix and taxes.

4.0 Capital Allocation Under Abel

From net seller to net buyer

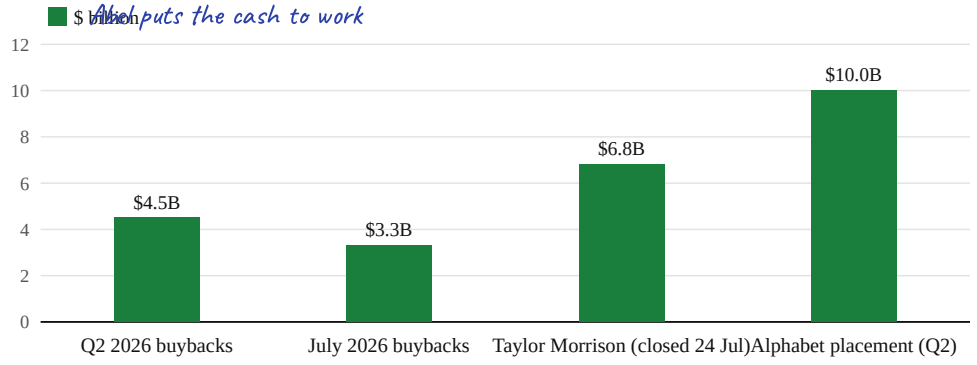
Greg Abel became chief executive in January, with Buffett staying on as chairman. His first visible decision was to restart buybacks after a 21-month freeze, on the grounds that the shares traded below intrinsic value; he also invested his own after-tax annual salary, about $15 million, in Berkshire stock. In the second quarter Berkshire repurchased about $4.5 billion of its shares and bought almost $20 billion more stock than it sold, ending a run of 14 consecutive quarters of net selling. The largest single purchase was a $10B private placement in Alphabet announced on 1 June, part of a share sale Alphabet used to fund its AI spending. Without it, net buying would still have been almost $10 billion. In July Berkshire closed the purchase of homebuilder Taylor Morrison for about $6.8 billion in cash and bought back more than $3.3 billion of its own shares.

Exhibit 5. Berkshire's net purchases or sales of equities by quarter ($ billion)



Source: Motley Fool, citing Berkshire's cash flow statements (Q3 2025 net sales ~$6.1B; Q1 2026 net sales ~$8.1B; Q2 2026 net purchases ~$20B). Q4 2025 not shown.

Exhibit 6. Disclosed uses of cash, second quarter and July 2026 ($ billion)



Sources: Bloomberg and Motley Fool (buybacks); Motley Fool (Taylor Morrison, Alphabet placement).

There is an irony in the Alphabet investment. Berkshire's share price is behaving as a hedge against the AI trade, yet one of its largest recent deployments of cash helped fund Alphabet's AI capex, which as Andra Markets 2026-73 described, has pushed Alphabet's free cash flow below zero. The stake makes

Berkshire a supplier of capital to the build-out, alongside the bond and equity investors examined in our neocloud and hyperscaler reports. Its marks will appear in investment gains or losses, which Berkshire asks shareholders to look through in favour of operating earnings.

4.5 The Post-Buffett Transition

What has changed and what has not

2026 is Berkshire's first year without Warren Buffett as chief executive. Greg Abel, who previously ran the non-insurance businesses, took over in January; Buffett remains involved as chairman. The structure is unchanged: a decentralised group of wholly owned businesses, a large insurance float invested by headquarters, and a portfolio of listed stocks. What has changed is the pace of capital deployment. In his first annual letter Abel described a "fortress-like balance sheet" and restated Buffett's principle that Berkshire prefers owning good businesses to holding cash, while noting that some of the cash supports the insurance operations. The market's verdict so far is positive: the shares are at a record and, according to 24/7 Wall St., the market has accepted the new leadership. Saturday's report will be the third quarterly report under Abel and the first after a period of sharp market volatility.

Abel's year

Exhibit B. Berkshire at a glance

Part of the group	Examples	What drives it
Insurance	GEICO, General Re, Berkshire Hathaway Reinsurance and Primary groups	pricing cycle, catastrophes, investment income on float
Railroad	BNSF	freight volumes, pricing, costs
Energy	Berkshire Hathaway Energy	regulated returns, power demand
Manufacturing, service and retailing	dozens of businesses, incl. the newly acquired Taylor Morrison	industrial and consumer cycles, housing
Listed equities	large stakes incl. Apple, American Express, Bank of America, Coca-Cola, Alphabet	market prices; dividends
Cash and Treasury bills	~$365B at June	interest rates; deployment

Sources: Berkshire Hathaway reports as summarised by TradingKey, Motley Fool and Bloomberg; Andra Markets. Simplified.

5.0 The Operating Businesses

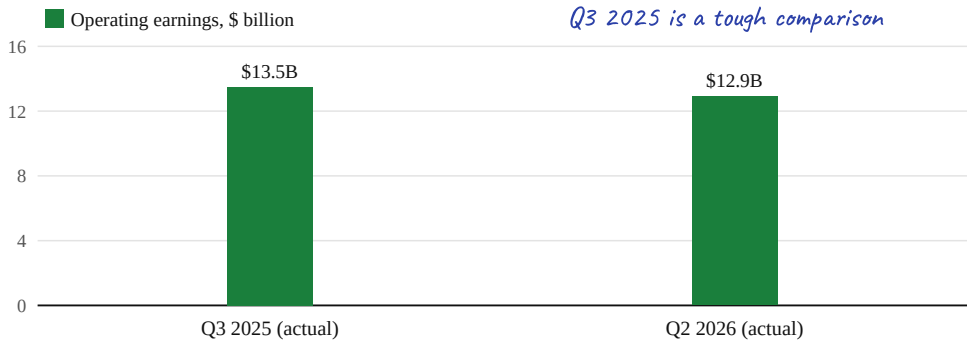
Insurance softening, the rest carrying

~$14B

Berkshire's operating earnings were $13.5 billion in the third quarter of 2025, up 34%, helped by a normalisation of insurance underwriting income. In the second quarter of 2026 they rose 16.3% to $12.9 billion, with per-share operating earnings up 16.5% helped by buybacks; revenue was $101.8 billion. For the third quarter, Zacks consensus points to revenue of about $97.3 billion, up 2.5%, and per-share earnings down about 5.6%. Morningstar expects operating earnings to rise by a mid-to-high single digit despite weaker underwriting, as railroad, energy and manufacturing businesses offset pricing and growth pressure in insurance. TradingKey highlights insurance profits, BNSF and Berkshire Hathaway Energy as the segments to watch. UBS raised its price target on the Class B shares to $628 before the report.

tough comp

Exhibit 7. Berkshire operating earnings ($ billion)



Sources: Motley Fool (Q3 2025); Forbes and 24/7 Wall St. (Q2 2026).

6.0 Why the Stock Rallied as AI Fell

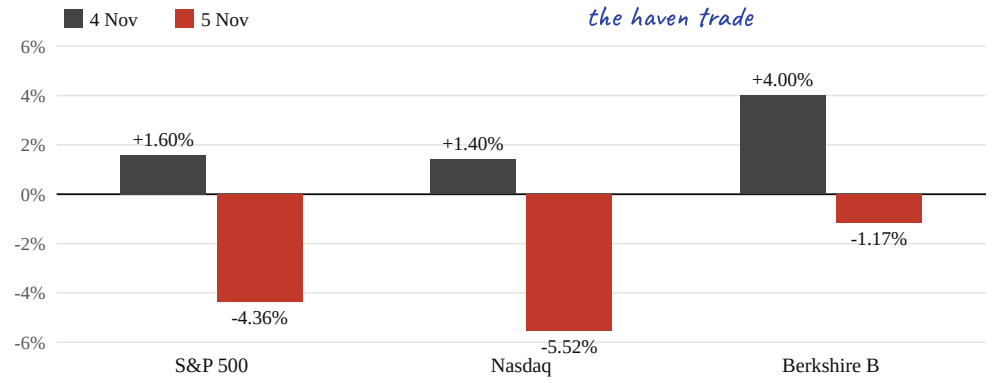
A different kind of exposure

+16% in 5 weeks

Berkshire's shares rose about 16% in roughly five weeks to a record, including a 4% jump on 4 November with no filing or press release to explain it. Three explanations stand out. First, rotation: as investors cut exposure to AI chips, power and data-centre builders, they moved money into businesses with steady cash flows and little AI risk; Berkshire hit an all-time high on Thursday morning even as the Nasdaq fell. Second, cash: a balance sheet with about $365 billion of cash and Treasury bills earns interest at close to 4%, and gives Berkshire the option to buy assets cheaply in a sell-off. Third, leadership: 24/7 Wall St. argues the market has accepted Abel and that Berkshire has started putting cash to work. In a market that is suddenly pricing constraints on AI, a conglomerate of railroads, utilities and insurers looks like insulation.

~16%

Exhibit 8. Two days, two markets (%)



Sources: AP via FinChannel (4 Nov index closes); Motley Fool (Berkshire 4 Nov ~+4%; 5 Nov closes for S&P 500, Nasdaq and BRK.B).

7.0 History: Berkshire in Bad Years

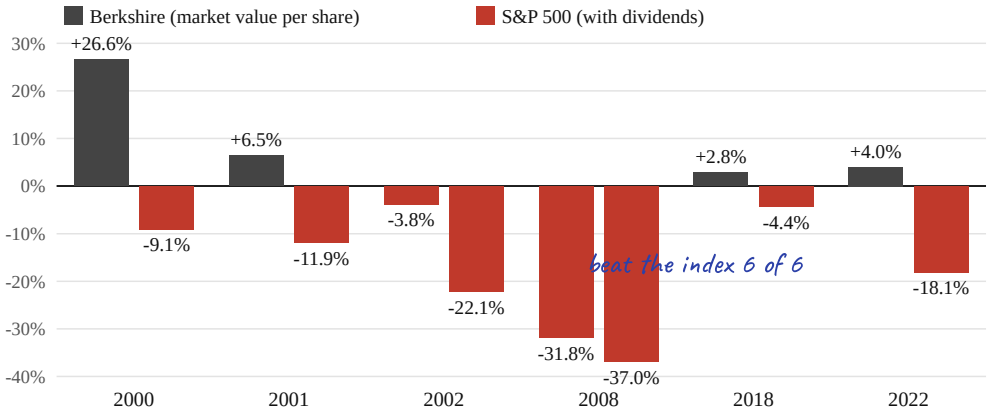
Better, not immune

~27%

Berkshire's own annual letters show that in each of the six calendar years since 2000 when the S&P 500 fell, counting dividends, Berkshire's share price did better: it rose 26.6% in 2000 when the index fell 9.1%, 6.5% in 2001 against −11.9%, fell 3.8% in 2002 against −22.1%, fell 31.8% in 2008 against −37%, rose 2.8% in 2018 against −4.4% and rose 4% in 2022 against −18.1%. On a simple average, Berkshire gained less than 1% a year in those six years while the index lost about 17%. The edge was narrowest, about five points, in 2008, the worst year for the market. Berkshire has protected investors in bad years, but it has not been immune in crashes: its Class A shares fell 50.7% between September 2008 and March 2009, and Buffett noted in 2014 that they had halved three times since 1965.

6 of 6

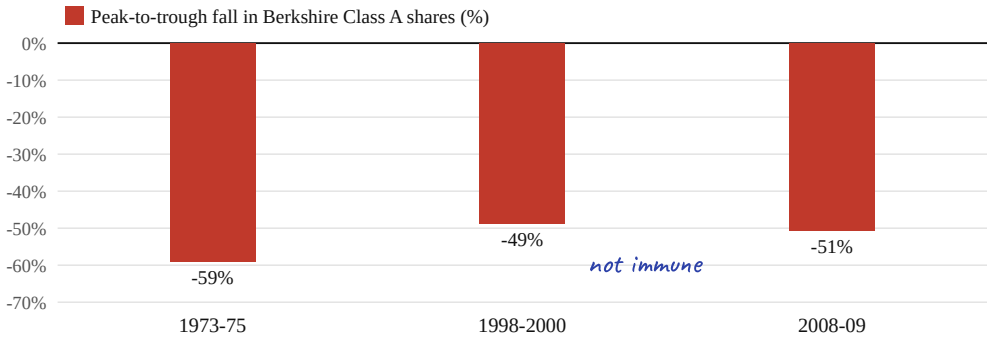
Exhibit 9. Berkshire vs the S&P 500 in every S&P 500 down year since 2000 (%)



the record

Source: Berkshire Hathaway annual letters via Motley Fool (Berkshire: change in per-share market value; S&P 500: total return with dividends).

Exhibit 10. Largest falls in Berkshire's Class A shares (%)



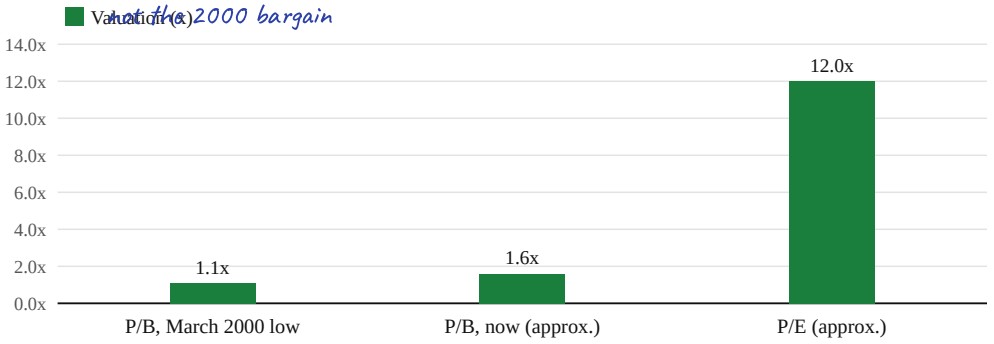
Sources: Buffett's 2017 letter via Motley Fool (1998-2000: −48.9%; 2008-09: −50.7%); 1973-75 decline as listed in the same letter (approximately −59%).

8.0 Valuation

Not the 2000 bargain

Valuation tempers the historical record. Berkshire's best run against the market started in March 2000, when its Class A shares had fallen 48.9% and traded at about 1.1 times book value. Today the Class B shares trade at about 1.6x book value, based on book value of about $348 per share at the end of June, and roughly 12 times earnings according to 24/7 Wall St. That is a reasonable but not a distressed valuation for a business whose operating earnings grow modestly. The cash pile limits downside, but much of the haven value may already be in the price after a 16% run, which is why the Motley Fool's Daniel Sparks expects any edge in the next down year to be narrower than in 2000.

Exhibit 11. Berkshire valuation (x)



Sources: Motley Fool (price-to-book in March 2000 and now); 24/7 Wall St. (P/E ~12x). Approximate.

9.0 Risks

What could disappoint

Four risks stand out. Insurance: underwriting profits are cyclical and pricing is softening, and a large catastrophe can swing a quarter. Investments: Berkshire's large stakes, including Apple and now Alphabet, create big swings in reported net income, and the Alphabet position adds some exposure to the AI capex cycle the market is now questioning. Capital allocation: if the cash pile rebuilds, investors may conclude Abel finds little to buy at current prices, and cash yields would fall if the Fed eventually cuts. Valuation: after a 16% rally to a record, the shares are priced as a haven, and havens can underperform sharply when risk appetite returns.

10.0 Scenarios

How Saturday could read

Exhibit C. Andra Markets scenarios for the Q3 report

Scenario	What Berkshire reports	Likely read
Active deployer	cash in the low $350 billions; net stock buying; buybacks in Aug-Sep	Abel still finds value; supports the rally
Steady state	cash just under $365 billion; buybacks only in July; modest net buying	second quarter partly one-off; neutral
Back to hoarding	cash rebuilds towards $380 billion; net selling; no buybacks after July	less to buy at record prices; haven premium questioned

Andra Markets scenarios based on analyst commentary; no probabilities assigned. Not a recommendation on any security.

Exhibit D. What to watch after Saturday

Date	Event	Why it matters
Sat 7 Nov	Q3 release and 10-Q	cash, buybacks, net buying
Mid-Nov	13F filing	holdings changes, incl. Alphabet and Apple
9 Dec	Fed decision	yield on the cash pile
Feb 2027	Abel's second annual letter	capital allocation priorities

Andra Markets selection.

11.0 Investor FAQ

Short answers

Why does Berkshire report on Saturday? To give shareholders time to read the numbers before markets react, a practice inherited from Buffett. There is no call; the documents speak for themselves. Q1

Is the cash pile a bearish signal? Not necessarily. It grows on its own from operating cash flow, part of it backs the insurance business, and it falls when Berkshire finds things to buy, as in the second quarter. Q2

Does Berkshire protect against crashes? Historically it has done better than the S&P 500 in down years, but it fell about half in 1998-2000 and 2008-09. It is a steadier stock, not a risk-free one. Q3

What has changed under Abel? More buybacks, net stock buying and a large acquisition in his first year, after years of net selling under Buffett. Saturday will show whether that continued. These answers describe the company; they are not recommendations. Q4

reading: Saturday is about Abel's capital allocation, not earnings. falling cash and continued buying would confirm a more active Berkshire

Methodology and Source Notes

Method. This preview uses Berkshire Hathaway filings and annual letters as reported by the Motley Fool, Bloomberg, Forbes and 24/7 Wall St., consensus from Zacks via TradingKey, Morningstar's preview and market data to the close of 5 November 2026. Q3 cash scenarios are illustrative. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Berkshire Hathaway filings and shareholder letters; Motley Fool (Daniel Sparks); Morningstar; TradingKey (Zacks consensus, UBS); Bloomberg; Forbes (Bill Stone); 24/7 Wall St.; AP; Andra Markets 2026-73 and 2026-92.

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